Current signal: No clear recession risk

74 months into expansion. Credit conditions easing, yield curve positive, labor market stable, housing steady, GDP growing ~2.5%/yr.

74

Months since last recession

Indicator Name	Indicator Code	Current Value
10-Year Treasury Constant Maturity Minus 2-Year Treasury Constant Maturity	T10Y2Y	0.36
10-Year Treasury Constant Maturity Minus 3-Month Treasury Constant Maturity	T10Y3M	0.78
All Employees, Total Nonfarm	PAYEMS	158,984.00
Chicago Fed National Activity Index	CFNAI	-0.02
Chicago Fed National Financial Conditions Index	NFCI	-0.55
Consumer Price Index for All Urban Consumers: All Items in U.S. City Average	CPIAUCSL	332.57
Industrial Production: Total Index	INDPRO	102.64
Initial Claims	ICSA	187,000.00
Moody's Seasoned Baa Corporate Bond Yield Relative to Yield on 10-Year Treasury Constant Maturity	BAA10Y	1.60
NBER based Recession Indicators for the United States from the Period following the Peak through the Trough	USREC	0.00
New Privately-Owned Housing Units Authorized in Permit-Issuing Places: Total Units	PERMIT	1,367.00
New Privately-Owned Housing Units Started: Total Units	HOUST	1,427.00
Real Gross Domestic Product	GDPC1	24,180.42
Real-time Sahm Rule Recession Indicator	SAHMREALTIME	0.07
Unemployment Rate	UNRATE	4.20
University of Michigan: Consumer Sentiment	UMCSENT	44.80

Indicator	Current Value	Value in previous month	Value in previous quater	Value in previous year	Value 3 years ago	Value 5 years ago	Value 10 years ago
ICSA	187,000.00	217,000.00	190,000.00	219,000.00	238,000.00	379,000.00	266,000.00
PAYEMS	158,984.00	158,927.00	158,650.00	158,478.00	155,880.00	145,820.00	144,147.00
PERMIT	1,367.00	1,410.00	1,363.00	1,399.00	1,447.00	1,662.00	1,208.00
HOUST	1,427.00	1,199.00	1,522.00	1,379.00	1,420.00	1,664.00	1,203.00
CPIAUCSL	332.57	333.98	330.29	320.62	303.33	268.38	239.56
INDPRO	102.64	102.56	101.62	101.48	100.12	99.80	98.88
UMCSENT	44.80	49.80	56.60	52.20	59.00	82.90	94.70
UNRATE	4.20	4.30	4.30	4.30	3.60	5.80	4.80
BAA10Y	1.60	1.53	1.70	1.67	1.77	1.95	2.71
T10Y3M	0.78	0.57	0.72	-0.04	-1.58	1.18	1.18
T10Y2Y	0.36	0.30	0.52	0.43	-0.91	1.05	0.79
SAHMREALTIME	0.07	0.10	0.20	0.27	0.03	-0.13	-0.03
USREC	0.00	0.00	0.00	0.00	0.00	0.00	0.00
GDPC1	24,180.42		24,055.75	23,548.21	22,439.61	21,082.13	19,001.69
CFNAI	-0.02	-0.19	-0.17	-0.09	-0.41	0.33	0.13
NFCI	-0.55	-0.51	-0.49	-0.52	-0.28	-0.65	-0.37

Indicator Code	Current Value	Current vs Last Month	Current vs Last Quarter	Current vs Last Year	Current vs Last 3 Year	Current vs Last 5 Year	Current vs Last 10 Year
BAA10Y	1.60	0.07	-0.10	-0.07	-0.17	-0.35	-1.11
CFNAI	-0.02	0.17	0.15	0.07	0.39	-0.35	-0.15
CPIAUCSL	332.57	-1.41	2.27	11.95	29.23	64.19	93.01
GDPC1	24,180.42		124.67	632.21	1,740.81	3,098.29	5,178.73
HOUST	1,427.00	228.00	-95.00	48.00	7.00	-237.00	224.00
ICSA	187,000.00	-30,000.00	-3,000.00	-32,000.00	-51,000.00	-192,000.00	-79,000.00
INDPRO	102.64	0.08	1.02	1.16	2.52	2.84	3.76
NFCI	-0.55	-0.04	-0.06	-0.04	-0.27	0.10	-0.19
PAYEMS	158,984.00	57.00	334.00	506.00	3,104.00	13,164.00	14,837.00
PERMIT	1,367.00	-43.00	4.00	-32.00	-80.00	-295.00	159.00
SAHMREALTIME	0.07	-0.03	-0.13	-0.20	0.04	0.20	0.10
T10Y2Y	0.36	0.06	-0.16	-0.07	1.27	-0.69	-0.43
T10Y3M	0.78	0.21	0.06	0.82	2.36	-0.40	-0.40
UMCSENT	44.80	-5.00	-11.80	-7.40	-14.20	-38.10	-49.90
UNRATE	4.20	-0.10	-0.10	-0.10	0.60	-1.60	-0.60
USREC	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Current Macroeconomic Status (as of July 2026)

The U.S. economy has remained outside an official recession for 74 consecutive months — a notably long stretch. Credit and financial conditions have improved over the past 5 years: the corporate bond spread (BAA10Y) and the financial conditions index (NFCI) have both declined in tandem, pointing to easing stress in credit markets. The yield curve (T10Y3M) remains positive and is widening — a classic sign that the market is not currently pricing in an imminent recession through this channel.

The labor market presents a mixed but broadly stable picture: the unemployment rate has held within a narrow range, while initial jobless claims (ICSA) sit well below their pandemic-era 2020 peak — a one-off shock rather than a structural trend. The housing market shows no signs of overheating or contraction: building permits (PERMIT) continue to convert reliably into actual housing starts (HOUST). Consumer sentiment (UMCSENT) is improving, and real GDP is growing at a steady pace of roughly 2.5% annually.

Taken together, these signals point to no clear evidence of an impending recession in the current data.